"Dixon Technologies (India) Limited Q1 FY'26 Earnings Conference Call"

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MANAGEMENT: **MR. ATUL LALL – VICE CHAIRMAN & MANAGING DIRECTOR, DIXON TECHNOLOGIES (INDIA) LIMITED**
MR. SAURABH GUPTA - CHIEF FINANCIAL OFFICER, DIXON TECHNOLOGIES (INDIA) LIMITED

MODERATOR: **MS. BHOOMIKA NAIR - DAM CAPITAL ADVISORS LIMITED**

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY'26 Dixon Technologies Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited. Thank you, and over to you, ma'am.

Bhoomika Nair: Good Evening, Everyone, and a Warm Welcome to the Q1 FY'26 Earnings Call of Dixon Technologies.

We have the management today being represented by Mr. Atul Lall – Vice Chairman and Managing Director, and Mr. Saurabh Gupta – Chief Financial Officer.

At this point, I'll hand over the floor to "Mr. Lall for his Initial Remarks," post which we'll open up the floor for "Q&A." Thank you, and over to you, sir.

Atul Lall: Thanks, Bhoomika. Good evening, ladies and gentlemen. This is Atul Lall, and we also have on the call today our CFO – Saurabh Gupta. Thank you very much for joining the Earnings Call for the quarter-ended June 2025.

We have begun Financial Year '26 with robust all-round operational and financial performance. Our diversified portfolio, strong customer relationship, healthy order book, operational excellence and focus towards backward integration and creation of component ecosystem gives us confidence that we will continue our stellar track record of consistent performance and scale to new heights over the coming years.

To share with you the "Key Highlights for the Quarter":

Consolidated revenues for the quarter ended June 30th, 2025, was INR12,838 crores against INR6,588 crores in the same period last year, growth of 95%.

Consolidated EBITDA for the quarter was INR484 crores against INR256 crores in the same period last year, with a growth of 89%.

The consolidated PAT for the quarter was INR280 crores against INR140 crores in the same period last year, which is a growth of 10%.

Guided by our underlying commitment to financial prudence, we continue to demonstrate high level of discipline in managing our working capital cycle, which stood at negative four days along with a strong balance sheet with a net debt of negative INR214 crores.

We continue to deliver consistent improvement in our return ratios with return on capital employed of 49.1% and return on equity of 33.9% as on June 30th, 2025. This reflects our strength of our business model and these ratios will continue to serve as fundamental benchmarks in assessing strategic investment opportunities and guiding capital allocation decisions and ensuring alignment with the long-term goal of generating sustainable value for our stakeholders.

We continue to make strategic investments to expand our manufacturing capacities, enhance our manufacturing capabilities and focus on deepening the component ecosystem, which would help us with resilience and future-ready business.

We will be filing our applications for display module, camera modules and precision components in the next week or so.

Now, I will share with you the "Business Performance and Insights of each of the Segments":

Mobile Phones:

The revenue for the quarter from mobile business was INR11,663 crores, a growth of 125% year-on-year and operating profit of INR395 crores, which is a growth of 131%. Out of this, revenue for telecom IT hardware, hearables and wearables was INR1,410 crores, INR247 crores and INR175 crores, respectively.

We witnessed a strong momentum in the quarter with healthy volume growth across various smartphone brands. Order books for Q2 Financial Year '25, '26 looks even stronger. Ahead of the festive season we expect volume growth of at least 15% quarter-on-quarter.

Dixon remains the largest domestic manufacturer of mobile phones with high volume capability, best-in-class infrastructure. Construction of our 0.8 million square feet. mobile manufacturing campus is progressing well in Noida for our anchor customers with much higher capacity and is expected to be completed by March '26.

Approvals are expected for our 74:26 joint venture with Longcheer shortly and PN3 approval process for our 51.49 joint venture with Vivo is advancing well and also the application for our joint venture with HKC is advancing well.

We have signed a binding term sheet for 51% stake in Q Tech India for manufacture and supply of camera and fingerprint modules for the smartphones and we will be filing applications under the ECMS scheme shortly. Tentative agreements pertaining to the transaction are expected to be closed

in another couple of months, and we expect the financials to start consolidating from Q3 of the current financial year.

Construction of our facility for display modules in which we have a 74:26 JV with HKC for first phase underway for smartphones and notebooks with trials to be commenced from Q4 this fiscal and commencement of mass production by Q1 of next fiscal. We will be filing the application for this under the ECMS scheme also in the next seven to 10 days.

Consumer Electronics, that is LED TVs and Refrigerators:

Revenue for the quarter was INR672 crores with operating profit and margin of 40 crs and 6% respectively. Out of this, the revenue for refrigerator business was INR328 crores.

LED TV:

Q2 of this fiscal looks very promising, and we have a healthy order book ahead of the festive season. We have a strong interest from some new brands of our ODM solutions and almost 70% of our sales would be from ODM solutions in LED TVs.

We are actively working on increasing the capacities and enhancing capabilities for manufacturing for industrial, institutional and automotive displays.

Refrigerators:

Within one year of operation we have been able to capture around 10% of the Indian market in direct cool category and seeing the encouraging response from the brands, we are now expanding the capacity to 2 million from current 1.2 million at the existing facility in Greater Noida.

We are also now foraying into new products in cooling division like frost-free, side-by-side mini bars, deep freezers and visi coolers. The outlook for '25, '26 is very promising with healthy order book, and we are confident of achieving 50% growth this fiscal. With capacity expansion and new product categories, the business is expected to contribute meaningfully in the next couple of years.

Home Appliances:

Revenue for the quarter is INR313 crores, operating profit of INR36 crores with a growth of 13% year-on-year with an operating margin of 11.5%. Our construction for capacity expansion for FATL in Tirupati will be ready by August '25 to meet the increased order book for our customers.

Launch of semi-automatic washing machine in higher capacity categories of 16 and 18 Kg has already been done, and product will be launched by Q3 of the current fiscal.

We have also now partnered with Eureka Forbes for manufacturing of robotic vacuum cleaners, which diversify the product portfolio. We have already started working on project for front load washing machine and have appointed a very senior Korean expat to drive this project.

Lighting:

Revenue for the quarter was INR188 crores. Our 50-50 JV with Signify that is Philips brand will commence operations from the first week of August '25 and expected to realize operating efficiencies through synergies, the addition of new product lines, including premium indoor and professional lighting and potential export opportunities. We have got a first pilot order from one of the top retail chains in the U.S., which are expected to be executed in the current quarter and aim to scale up this opportunity to a sizable business in the upcoming quarters. We are continuing and focusing and investing in automation to further enhance operational excellence.

Telecom and Networking Products:

This segment witnessed a strong growth with revenues of INR1,410 crores which is more than 250% growth.

Home broadband penetration in India continues to grow at a very fast pace, and we have been continuously building up more capacities and enhancing our manufacturing capabilities for 5G FWA that's fixed wireless access devices for our anchor customers.

We also have a very strong order book from our anchor customers on IPTV set-top boxes.

In line with the backward integration strategy, we have already localized components, including moldings and adapters and now focus on other critical parts with the objective of strengthening supply chain resilience, improving cost structure and the core margin expansion.

We are in advanced stage of discussion for a JV for a critical component for telecom devices. We see the telecom segment as a multi-year growth opportunity, and we are actively working on non-CP products now, laptops, tablets and IT hardware products. Our dedicated IT hardware product manufacturing unit in Chennai has started mass production of laptops and AIOs for HP and ASUS.

The order book for Lenovo is picking up every month and expect a strong revenue growth in coming quarters. We are excited about the long-term opportunity for this segment.

Our 60:40 JV with Inventec one of the world's top 5 PC ODMs for manufacturing of notebook PC products, servers and desktop PCs is expected to be operational by Q1 of next fiscal.

We have signed a binding term sheet of 74:26 JV with Chongqing Yuhai for precision components for mechanicals and metal parts for existing customers for notebooks and further be extended to

smartphone and various other product categories. We will file for this category also our application under the ECMS scheme shortly.

We are also pursuing potential partnership for components like SSD, memory modules and power supply to leverage the IT hardware PLI scheme.

Wearables and Hearables:

Revenue for this segment was INR175 crores for the quarter with healthy operating margin and very good ROCE. We have a strong order book in this business. We have also now added dash cam and smart watches to our product portfolio with the existing customer, and we are also in discussion with new brands and increased focus on backward integration and localization.

At Rexxam Dixon Electronics:

The JV with Rexxam achieved highest quarterly revenue of INR144 crores with very healthy operating margin and high ROCE. We have finalized a new manufacturing location at Chennai for meeting the increased order book for our anchor customer, which is expected to become operational by Q4 of this fiscal.

I would like to stop here, and me and Saurabh are there to address any questions. Thank you so much.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Siddharth from Nuvama Capital. Please go ahead.

Siddharth: Sir, first question is on this camera module JV. So, can you share some more thoughts about how should we think about the ramp-up here in terms of volume and market share, which they have, who are the key customers? And as and when they come with us in the JV, how should the ramp-up look over the next couple of years?

Atul Lall: So, Q Tech is one of the five largest camera module manufacturers globally. They have a running factory in India. And already in India, they are supplying to all the major Android brands. That is Vivo, Oppo, Xiaomi, Motorola. They have a large market share there. Just to give you a thumb rule kind of a thing, in every mobile, there is almost 3.2 camera modules going in. So, the Indian market is around 450 million, 475 million camera modules. Last year, they did around 40-odd million camera modules. Dixon in-house consumption itself of camera modules is going to be almost in the next two years, reaching 180 - 190 million. So, we want to ramp it up to that level, plus whatever we can sell to the in-house consumption, in-house manufacturing of the various brands. So, that is the addressable market we are looking at. In last year, they have done a revenue of almost INR1,977 crores. We feel that over the next four, five years, this business is going to be somewhere around INR5,000 crores.

Aditya Bhartia: Understood, sir. That is very helpful. Thank you.

Moderator: The next question is from the line of Madhav from Fidelity. Please go ahead.

Madhav: Just wanted to understand how the valuation was arrived at for the Q Tech acquisition. So, if the revenue is about INR2,000 crores, I am assuming 5%, 6% EBITDA margin and if it's growing to like INR5,000 crores in four, five years' time, just if you could help us understand how the valuation was arrived at about INR1,000 crores for this entity?

Saurabh Gupta: Yes. So, basically, the revenue is INR2,000 crores, they have an EBITDA margin of broadly 7%, 7.5%, so broadly at INR150 crores of EBITDA and INR72 crores kind of a PAT, this is the last reported numbers. So, if you look at the valuation, the 15x of broadly PAT that we have given or in terms of EV EBITDA, it will be closer to 9, 10x.

Madhav: Okay. I m just trying to understand like how does the valuation get arrived at given where the sector trades at in India and the growth is pretty strong, like 2.5x growth in sales in like four, five years' time, so just trying to understand the valuation that, like how does that get arrived at?

Saurabh Gupta: It is a negotiated valuation, and basically both the partners are bringing their own synergies on the table. So, we bring in a large Android ecosystem. We bring a large customer access. They already have the technology. And so both the partners are bringing. So, it is more of a negotiated kind of a deal. We think that both partners can bring in their respective synergies over a period of time and together, we can make this business scalable from INR2,000-odd crores to INR5,000 crores. And also, we feel confident that with both deepening of manufacturing happening in India and also by leveraging on this ECMS PLI scheme, the margins potentially, which is 7%, 7.5% can go to 9%, 9.5% in the coming years.

Madhav: Understood. And just the smartphone volumes, please, for Q1?

Saurabh Gupta: Smartphone volumes for Q1 was almost INR9.6 million.

Madhav: And the feature phones?

Saurabh Gupta: Feature phones was closer to 5.7 million.

Moderator: The next question is from the line of Piyush Khandelwal from Motilal Oswal. Please go ahead.

P Khandelwal: Thank you, Atul, sir and Saurabh, sir. Just wanted to ask, do we have any plans to get into the bare PCB manufacturing as well because that might help us in getting more of backward integration as well?

Atul Lall: So, Piyush, as of now, we are not pursuing it. We were working on strategic acquisition. To be candid, we are working on a very tight timeline so that we can file the applications of ECMS and leverage the government policy framework. So, as of now, no. But definitely, we feel that PCBA is a very large opportunity. Now the next phase of the line is to create a business resource and a strategy for pursuing that opportunity undoubtedly.

P Khandelwal: Maybe something for industrials, automotive, PCA.

Atul Lall: One domain we are going to aggressively pursue.

P Khandelwal: Okay. Sir, just the reason why I am asking this is because the government is providing subsidies anyways in this latest component PLI scheme. So, we can anyways take advantage of that. So, that will be like much more lucrative as well, apart from just PCBA, which you said as a very, very lucrative opportunity.

Atul Lall: So, as of now, Piyush, we are not pursuing at least the ECMS scheme for PCB, bare PC.

Saurabh Gupta: So, Piyush, we are focusing on other components, but yes, we feel that other components -

Atul Lall: See, our sense, Piyush, is that there is a large surplus global capacity as far as PCB is concerned, bare PCB. Second, there is no duty arbitrage. It is an ITA-1 category. So, the government cannot create duty arbitrage in this particular component. So, the financial metrics is different. But I think it is a matter of perception, and each business was having its own view. And we have pursued the other parts of the component ecosystem.

P Khandelwal: Got it, sir. Thanks.

Moderator: The next question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Hi, good afternoon, sir. Thanks always for your time. Two questions on the cell phone business. One, obviously, Q1 has been very strong, volume growth, top line growth again, extremely strong. And I think in one of your comments, you said you are looking at another 15% QoQ growth as well given the way order books are with you. So, if you could just help us what is driving that growth? Is it also scaling up of exports for one of your anchor clients in the US? Is it more domestic volumes? New customers? So, just some more insight into what is driving that growth. And if I remember right, you said about 40 million to 43 million annual numbers for the cell phone business. So, are you broadly sticking to that?

Atul Lall: So, our order book, Ankur, is looking good for smartphones. As Saurabh just shared the number, we did around 9.6-odd million in Q1. And the order book is I think we should be somewhere at around 11 million to 12 million in Q2. Now this is a mix of better performance of our customers, both in the domestic market and also a significant flip of our anchor customer for global markets.